

Rebecca is a dedicated credit card surfer who prides herself on her ability to pay the lowest possible interest rates on the \$3,000 balance she tends to carry from month to month. Because she has a good credit history, she gets solicitations in the mail almost daily, offering her extra-low introductory teaser rates. Every few months, she switches cards and gets a new teaser rate, so she never ends up paying more than 5% on her debt.

Recently Rebecca transferred her balance to a card with a six-month teaser rate of 0%. She used the card to buy hundreds of dollars' worth of books and clothes. When she got her credit card statement at the end of the month, she was shocked to see that while the balance she had transferred from her old card was running up interest at 0%, the new money she had spent on books and clothes was being hit for 18.9%! What Rebecca hadn't noticed was that the teaser rate on her card only applied to balance transfers—*not to any new purchases she made*.

Determined not to pay interest rates in the double digits, she sent in a check that covered all the new purchases she had made that month. But when her next statement came, she found that none of that 18.9% debt had been paid off; instead, her check had gone toward paying off the older—and cheaper—balance she had transferred from her old card. She would have to pay off that entire \$3,000 balance transfer (at 0%) before she could even make a dent in her more expensive new balance (at 18.9%). Ironically, her teaser rate was actually *preventing* her from paying off her high debt.

In the end, Rebecca was forced to engineer a complicated transaction to get at her 18.9% debt. She transferred all the debt on her card to *another* card, then immediately switched it all back. (That way, it counted as a balance transfer again.) Luckily, neither card charged a balance transfer fee. From then on, she made all new purchases on a second card and paid them off in full every month, avoiding interest payments altogether—and used her 0% card exclusively for her old balance.

The obvious moral of the story: Not all teaser deals are the same. New regulations prohibit the nastiest version of this trick, but you should still make sure to read all the fine print before you rush to